



## A COMPARATIVE STUDY

- Air India has 55% market share on metro-to-metro routes
- But IndiGo has complete dominance overall

|                       | Air India                                                           | IndiGo                                                               |
|-----------------------|---------------------------------------------------------------------|----------------------------------------------------------------------|
| Destinations          | ▶ <b>87</b> Total ▶ <b>44</b> Domestic<br>▶ <b>43</b> International | ▶ <b>130</b> Total ▶ <b>90</b> Domestic<br>▶ <b>40</b> International |
| Weekly flights        | ▶ <b>4,725</b>                                                      | ▶ <b>15,400</b>                                                      |
| Domestic market share | ▶ <b>25.7%</b>                                                      | ▶ <b>65.20%</b>                                                      |
| Strategy              | Premium international focus                                         | Domestic dominance, selective international expansion                |

highlights deeper, underlying weaknesses within the system.

Capt. G R Gopinath, the founder of the country's first low-cost airline, Air Deccan, says it is going to be a herculean task for the Tatas to put the building blocks together again and avoid future mishaps. "The group, with its strong management legacy and proven capabilities, must do whatever it takes to restore public trust," he says.

There are fundamental issues that the airline must tackle, say for-

mer executives. A former finance head pointed out that the new management has alienated the more experienced professionals to create space for a younger employee base.

"You simply cannot run an airline on consultant advice alone, especially when many of the people involved lack core domain experience. The airline today seems to be run by a select group where each leader is the king of his silo," says the official, who did not wish to be named. He says while cost con-

sciousness is essential, it should not be at the cost of institutional memory.

While Air India's legacy workforce—including experienced cabin crew—has been shown the door, a certain resentment has set in among the rank and file, as the Vistara team has been driving decisions, says the former executive.

One former top executive says the management is wary of seeking advice from some of the retired officials who are willing to help the airline in its transformation journey. "I wrote to Air India offering my inputs and willingness to help. There was no response. I travelled to Delhi on my own expense to meet a senior executive, but he wasn't interested in hearing what I had to say."

### RESTORING TRUST

Former officials *BT* spoke to say the entire top deck, including the airline's MD & CEO Campbell Wilson, lacks the necessary experience to run such a large airline with international operations. "The leadership lacks core aviation experience," says an aviation consultant who has been part of the launch of a few airlines.

According to the official, Wilson ran Scoot, a low-cost carrier in Singapore. That requires different skill sets than managing a full-service international airline. Other key decision-makers like Nipun Aggarwal (Chairman of Air India Express), a former merchant banker, and Yogesh Agarwal (Head, Aircraft Acquisition and Leasing), have no aviation background. He believes since they are from the Tata group, they could have been suitable for non-operational roles. Both were involved in the acquisition and merger process.